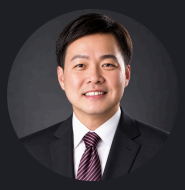
JASON CHOI
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FREE GUIDE

BUYING AND SELLING AT THE SAME TIME

Bridge Financing Explained

How to buy your next home before your current home sale closes — costs, how to qualify, risks and alternatives in Alberta and BC.



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1. What Is Bridge Financing?

Bridge financing is a short-term loan that lets you buy your new home before the money from selling your current home arrives. It "bridges" the gap between the two closing dates.

When it is used	Your current home has a **firm** sale, but your new home closes **first**.
Who offers it	Usually your mortgage lender for the new home (bank, credit union or monoline lender). Not all lenders offer it.
How long	Usually 30–120 days; some lenders allow longer.
How much	Up to your net equity: sale price − mortgage balance − commission − legal fees.

2. How It Works — Example

Step	What happens
1	Your current home sells firm. Closing date: **May 31**.
2	You buy a new home closing **May 15** — 16 days earlier.
3	You need your equity on May 15, but it arrives May 31.
4	Your broker or lender arranges bridge financing using both agreements and your new mortgage approval.
5	On May 15, the bridge loan and new mortgage fund. You get your keys.
6	On May 31, your sale closes. Your lawyer repays the bridge loan and sends you the rest.

3. Costs

Cost	Typical
Interest	Often prime + 2% to 4% a year, charged only for the days you use it
Example	$150,000 for 30 days at 7% a year = $150,000 × 7% ÷ 365 × 30 ≈ **$863**
Setup fee	About $200 – $500
Extra legal fees	About $300 – $600
Total for a 30-day bridge	Often about **$1,000 – $2,000**

Rates change with the market. Ask your lender for current numbers.

4. How to Qualify

- **Your sale must be firm** (all conditions removed). A conditional sale does not qualify — this is the most common surprise.
- **You need full mortgage approval** on the new home.
- **Same lender:** most lenders only offer bridge financing if your new mortgage is with them. Confirm early.
- **Maximum amount** is your net equity, verified with your sale agreement and mortgage statement.
- **Normal credit rules** apply.
- **Private lenders** may offer bridge loans at much higher rates — use only as a last resort.

5. When It Makes Sense — and When It Does Not

Makes sense	Does not make sense
Your new home closes before your sale closes	Your sale is still conditional
You want to avoid selling under pressure	The gap is very long (6+ months) — costs add up
You want to avoid moving twice or renting short-term	Your lender will not approve it
You have good equity in your current home	The amount needed is small — just negotiate dates

6. Risks and Alternatives

Risks

- **Your sale collapses:** you could carry two homes and a bridge loan. Make sure the sale is truly firm.
- **New home is delayed** (common with new construction): the bridge costs more each day.
- **Approval is withdrawn** if your finances change. Do not change jobs or take on new debt before closing.

Alternatives

- **Negotiate dates** so both closings line up — often the simplest answer.
- **Use a home equity line of credit (HELOC)** on your current home, if available.
- **Family loan** — properly documented. Check with your lawyer and lender.

7. Alberta vs. BC

Alberta	British Columbia
Completion and possession are usually the **same day**.	Completion (legal transfer) and possession (keys) are usually **1–2 days apart**.
No land transfer tax — less cash needed at closing.	Property Transfer Tax adds cash needs (about $18,000 on a $1 million home, unless exempt).
Deposit often paid soon after acceptance.	Deposit usually paid after subjects are removed.

8. Questions to Ask Your Lender

- Do you offer bridge financing, and do I qualify?
- What is the maximum amount and the longest term?
- Does my new mortgage have to be with you?
- What is the current rate and the total cost?
- What documents do you need?
- What happens if my sale falls through after the bridge is advanced?
- Can I use my HELOC instead — which is cheaper?
- Can it be pre-approved before I make an offer?

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For general education only. Not financial, mortgage or legal advice. Availability, rates and terms vary by lender and change with the market. Always speak with your lender or a licensed mortgage broker. Prepared by Jason Choi, REALTOR®, First Place Realty. Updated November 2026.